Product, Services, and Brands

Chapter: 8

Value-Driven Marketing

Value

- A customer's subjective assessment of benefits relative to the costs in determining the worth of a product
  - **Customer value** = **customer benefits** – **customer costs**
- Customer benefits
  - Anything desired by the customer that is received in an exchange
- Customer costs
  - Anything a customer gives up in an exchange for benefits
    - Monetary price of the benefit
    - Search costs (time and effort) to locate the product
    - Risks associated with the exchange

Benefits

- Consumers don't buy products; they buy benefits
- Functional benefits: relating to the practical purpose a product serves
- Psychological benefits: relating to how a product makes one feel

Definitions

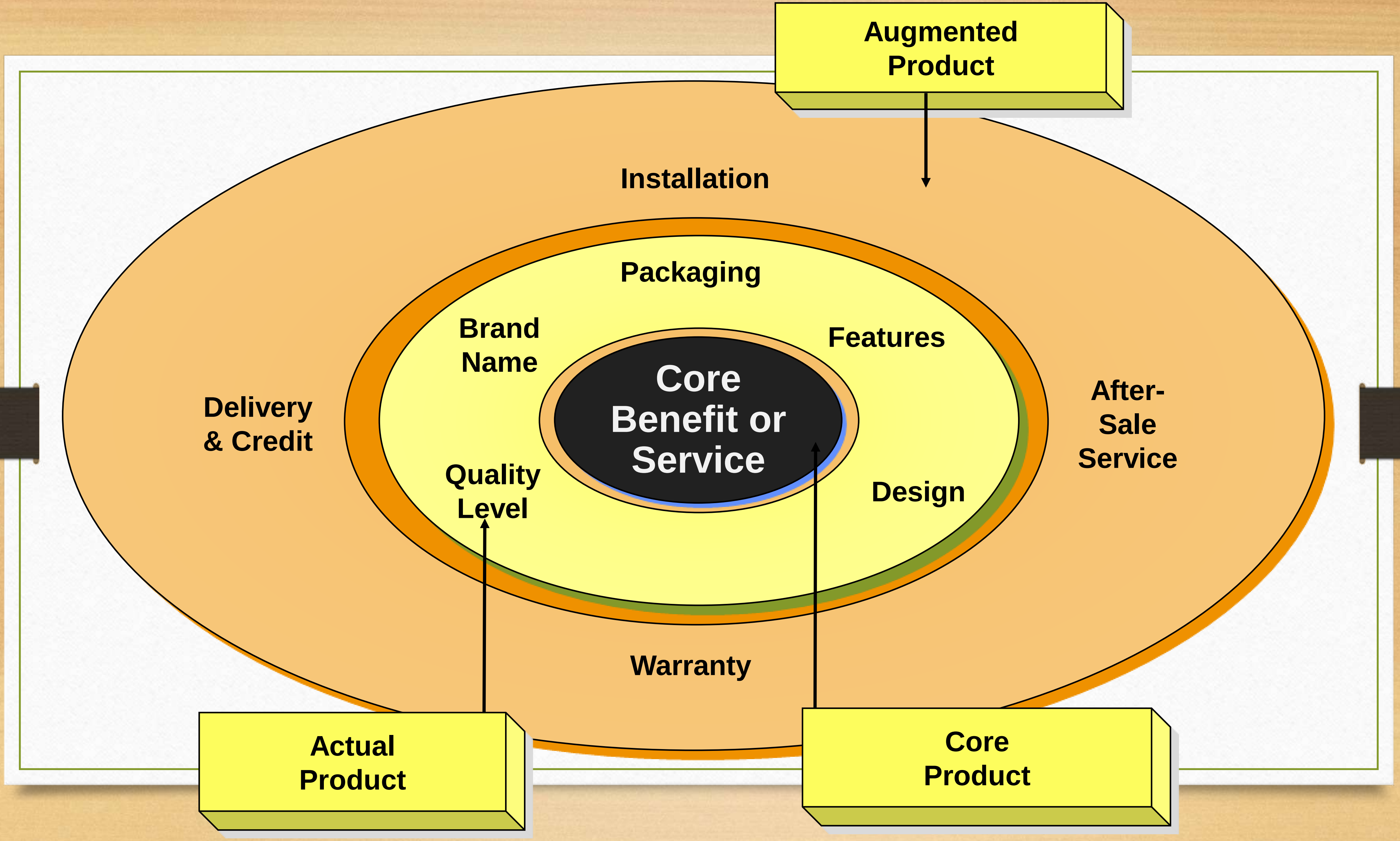
Product

- Anything offered to a market for attention, acquisition, use, or consumption that might satisfy a need or want.

Service

- Any activity or benefit that one party can offer to another that is essentially intangible and does not result in ownership of anything.

Levels of Products



Augmented Product
Installation
Packaging
Brand Name
Features
Delivery & Credit
Core Benefit or Service
After-Sale Service
Quality Level
Design
Warranty
Actual Product
Core Product

Scenario-Based Question:

Imagine you are the product manager for a new smartwatch being launched by a tech company. The smartwatch offers basic timekeeping, fitness tracking, heart rate monitoring, and mobile notifications. It comes with a sleek design, a recognizable brand logo, and is packaged in a recyclable box. Customers also receive a one-year warranty, free delivery, installation support through an app, and 24/7 customer service.

- Using the product levels model shown in the diagram, categorize each of the following aspects into **Core Product**, **Actual Product**, or **Augmented Product**:

1. Heart rate monitoring and fitness tracking
2. Sleek design and packaging
3. Free delivery and 24/7 customer service
4. The sense of improved health and fitness the user expects to gain from using the smartwatch
5. One-year warranty and installation support

Classifications:

1. **Heart rate monitoring and fitness tracking**
   → Core Product
   These represent the **core benefit or service** the customer is seeking — in this case, health monitoring and fitness tracking.
2. **Sleek design and packaging**
   → Actual Product
   These are tangible features that define the **actual product** — the design, brand, features, and packaging help shape customer perception.
3. **Free delivery and 24/7 customer service**
   → Augmented Product
   These are **additional services** that enhance the customer experience beyond the product itself.
4. **The sense of improved health and fitness the user expects to gain from using the smartwatch**
   → Core Product
   This is the **core benefit** — the reason the customer is buying the product in the first place.
5. **One-year warranty and installation support**
   → Augmented Product
   These are **added services** provided to increase value and reduce buyer risk, part of the augmented product layer.

Product Classifications

- Consumer products
- Industrial products

Product Classifications
Consumer Products

- Consumer products are products and services for personal consumption
- Classified by how consumers buy them
  - Convenience products
  - Shopping products
  - Specialty products
  - Unsought products

Product Classifications
Consumer Products

Convenience products are consumer products and services that the customer usually buys frequently, immediately, and with a minimum comparison and buying effort

- Low price
- Widespread distribution
- Mass promotion by producer

E.g:

- Newspapers
- Candy
- Fast food

Product Classifications
Consumer Products

Shopping products are consumer products and services that the customer compares carefully on suitability, quality, price, and style

*less frequent purchases

*higher price

*selective distribution in fewer outlets

*advertising & personal selling by both producer and resellers

- Furniture
- Clothing
- Major Appliances

Product Classifications
Consumer Products

Specialty products are consumer products and services with unique characteristics or brand identification for which a significant group of buyers is willing to make a special purchase effort

*strong brand preference and loyalty

*little comparison of brands

*high price

*exclusive distribution

*more carefully targeted promotion by producers and resellers

- Luxury goods
- Designer clothes
- High-end electronics

Product Classifications
Consumer Products

Unsought products are consumer products that the consumer does not know about or knows about but does not normally think of buying

*little product awareness

*price varies

*distribution varies

*aggressive advertising & personal selling by producer & reseller

- Life insurance
- Funeral services
- Blood donations

Product Classifications
Industrial Products

Industrial products are products purchased for further processing or for use in conducting a business

- Classified by the purpose for which the product is purchased
  - Materials and parts
  - Capital items
  - Supplies and services

Product Classifications
Industrial Products

Capital items are industrial products that aid in the buyer's production or operations, including installations and accessory equipment.

Materials and parts include raw materials and manufactured materials and parts usually sold directly to industrial users

Supplies and services include operating supplies(lubricants, coal, paper, pencil), repair and maintenance items(window cleaning, computer repair), and business services(legal, management consulting, advertisement)

Individual Product Decisions

The important decisions in the development and marketing of individual products and services.

Product Attributes

Product attributes are the benefits of the product or service

- Quality
- Features
- Style and design

Product Quality

Freedom from defects, Ability of a Product to Perform Its Functions, “Quality is when our customers come back and our products don’t”; Includes Level(performance quality) & Consistency(conformance quality)

Product Features

Help to Differentiate the Product from Those of the Competition

Product Style & Design

Style describes the appearance of the product

Design contributes to a product’s usefulness as well as to its looks. Product designers should think less about product attributes and technical specifications and more about how customers will use and benefit from the product.

Branding

A name, term, sign, symbol, or design, or a combination of these, intended to identify the goods or services of one seller or group of sellers and to differentiate them from the competitors.

Packaging

- Activity of designing and producing the container or wrapper for a product.
- Packaging used to just contain and protect the product.

Labeling

Printed information appearing on or with the package.

Performs several functions:

- Identifies product or brand
- Describes several things about the product
- Promotes the product through attractive graphics.

Product – Support Services

Companies should design its support services to profitably meet the needs of target customers and gain competitive advantage.

How?

Step1. Survey customers to assess the value of current services and to obtain ideas for new services.

Step2. Assess costs of providing desired services.

Step3. Develop a package of services to delight customers and yield profits to the company.

Product Line Decisions

A **product line** is a group of products that are closely related because they function in a similar manner, are sold to the same customer groups, are marketed through the same types of outlets, or fall within given price ranges

Product Line Decisions

Product line length is the number of items in the product line. A company can expand its product line in two ways:

- Line stretching (change of quality- upward, downward or both way)
- Line filling (change size or style)

Product Line Decisions

Product mix consists of all the products and items that a particular seller offers for sale

- Width (no. of diff. product lines a company carries)
- Length (total no. of items the company carries within its product lines)
- Depth (no. of versions offered of each product in the line)
- Consistency (how closely related the various product lines are in end use, production requirements, distribution channels, or some other way.)

Branding Strategy: Building Strong Brands

The major brand strategy decisions involve brand positioning, brand name selection, brand sponsorship, and brand development

Brand positioning

- Attributes
- Benefits
- Beliefs and values

Brand name selection

- Selection
- Protection

Brand Sponsorship

- Manufacturer's brand
- Private brands
- Licensing
- Co branding

Brand Development

- Line extension
- Brand extension
- Multibrands
- New Brands

Brand Positioning

Companies can position brands at any of the three levels:

- Product attributes (pamper: absorption, fit, disposable)
- Product benefits (pamper: skin-health benefits from dryness, ”there are fewer wet bottoms in the world because of us”)
- Product beliefs and values (pamper: helping mom with her baby’s development)

Brand Name Selection

Desirable qualities

1. Suggest benefits and qualities
2. Easy to pronounce, recognize, and remember
3. Distinctive
4. Extendable
5. Translatable for the global economy
6. Capable of registration and legal protection

Brand Sponsorship

- Manufacturer's (National) brand
- Private (store) brand
- Licensed brand
- Co-brand

Brand Development Strategies

Brand Name \ Product Category	Existing	New
Existing	Line Extension (Colgate toothpaste, different flavors)	Brand Extension (Colgate: Toothpaste & Toothbrush)
New	Multibrands (Unilever: Lux, Dove & Sunsilk Shampoo)	New Brand (Olper's(milk), Olfrute(juices))

Principles of Marketing

Chapter#9

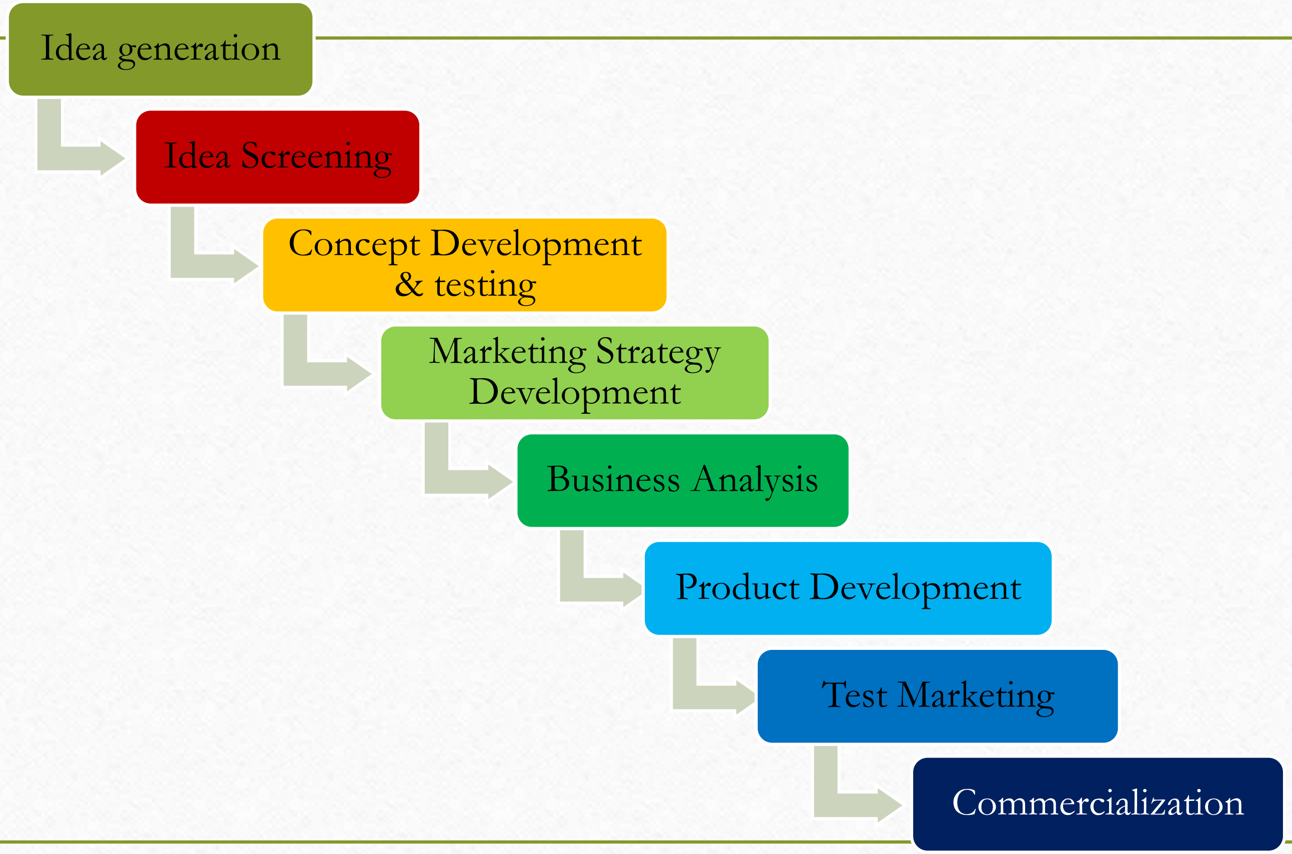
New-Product Development and Product Life-Cycle Strategies

New-Product Development Strategy

Two ways to obtain new products

- **Acquisition** refers to the buying of a whole company, a patent, or a license to produce someone else's product.
- **New product development** refers to original products, product improvements, product modifications, and new brands developed from the firm's own research and development

New-Product Development Process



1. Idea Generation

Idea generation is the systematic search for new-product ideas

Sources of new-product ideas

- Internal Sources
  - R&D
  - Sales force/employees
- External Sources
  - Customers
  - Resellers
  - Suppliers
  - Competitors
  - Advertising Agencies
  - Marketing research firms

2. Idea Screening

Identify good ideas and drop poor ideas.

- R-W-W Screening Framework:
  - Is it real?
  - Can we win?
  - Is it worth doing?

3. Concept Development and Testing

Product idea is an idea for a possible product that the company can see itself offering to the market

Product concept is a detailed version of the idea stated in meaningful consumer terms

Product image is the way consumers perceive an actual or potential product

Concept testing refers to testing new-product concepts with groups of target consumers

4. Marketing Strategy Development

Marketing strategy development refers to the initial marketing strategy for introducing the product to the market

- Marketing strategy statement includes:
  - **Description of the target market**
    - The target market, product positioning, and sales, share, and profit goals for the first few years.
  - **Value proposition**
    - Product price, distribution, and marketing budget for the first year.
  - **Sales and profit goals**
    - Long-run sales and profit goals and the marketing mix strategy.

5. Business Analysis

Business analysis involves a review of the sales, costs, and profit projections to find out whether they satisfy the company's objectives.

6. Product Development

Product development involves the creation and testing of one or more physical versions by the R&D or engineering departments

- Requires an increase in investment

7. Test Marketing

Test marketing is the stage at which the product and marketing program are introduced into more realistic marketing settings.

Provides the marketer with experience in testing the product and entire marketing program before full introduction

Types of Test Marketing

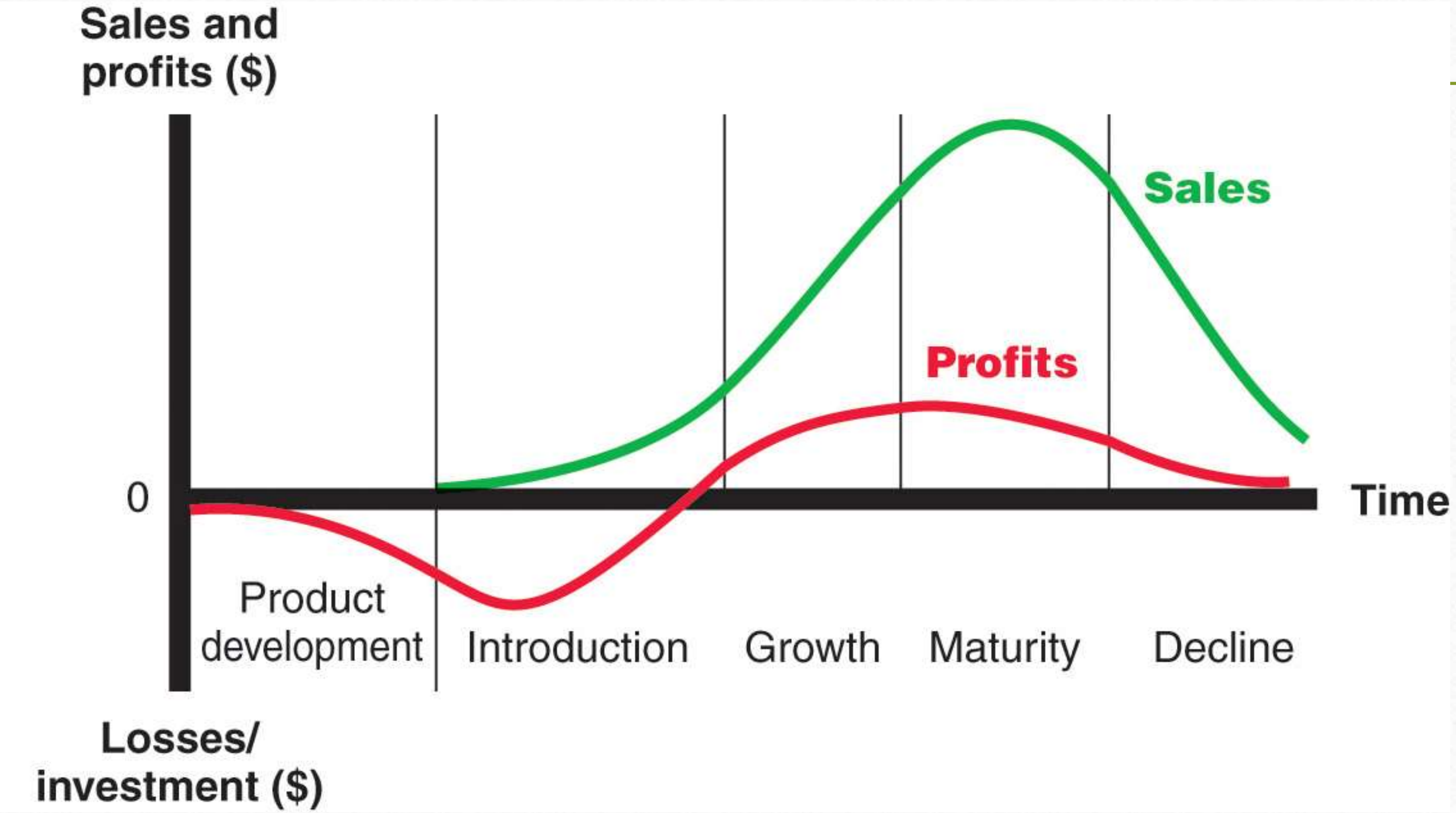
1. **Standard Test Marketing**
   - (full marketing campaign in a small number of representative cities)
2. **Controlled Test Marketing**
   - (A few stores that have agreed to carry new products for a fee)
3. **Simulated Test Marketing**
   - (Test in a simulated shopping environment to a sample of consumers)

8. Commercialization

Commercialization is <u>the introduction of the new product</u>.

- When to launch
- Where to launch
- Planned market rollout

Product Life Cycle



Product Life Cycle

The Typical Product Life Cycle (PLC) Has Five Stages

- Product Development, Introduction, Growth, Maturity, Decline
- Not all products follow this cycle
- The four basic stages through which a successful product progresses–introduction, growth, maturity, and decline.
- Some products move rapidly through the product life cycle, while others pass through those stages over long time periods.

Product Life-Cycle Strategies

PLC Stages

- ✓ Product development
- Introduction
- Growth
- Maturity
- Decline

- Begins when the company develops a new-product idea
- Sales are zero
- Investment costs are high
- Profits are negative

PLC Stages

Product development

✓ Introduction

Growth

Maturity

Decline

- Low sales
- High cost per customer acquired
- Negative profits
- Innovators are targeted
- Little competition

Sales	Low sales
Costs	High cost per customer
Profits	Negative
Marketing Objectives	Create product awareness and trial
Product	Offer a basic product
Price	Use cost-plus
Distribution	Build selective distribution
Advertising	Build product awareness among early adopters and dealers

PLC Stages

- Product development
- Introduction
- ✓ Growth
- Maturity
- Decline

- Rapidly rising sales
- Average cost per customer
- Rising profits
- Early adopters are targeted
- Growing competition

Sales	Rapidly rising sales
Costs	Average cost per customer
Profits	Rising profits
Marketing Objectives	Maximize market share
Product	Offer product extensions, service, warranty
Price	Price to penetrate market
Distribution	Build intensive distribution
Advertising	Build awareness and interest in the mass market

PLC Stages

Product development

Introduction

Growth

✓ Maturity

Decline

- Sales peak
- Low cost per customer
- High profits
- Middle majority are targeted
- Competition begins to decline

Sales	Peak sales
Costs	Low cost per customer
Profits	High profits
Marketing Objectives	Maximize profit while defending market share
Product	Diversify brand and models
Price	Price to match or best competitors
Distribution	Build more intensive distribution
Advertising	Stress brand differences and benefits

PLC Stages

Product development

Introduction

Growth

Maturity

✓ Decline

- Declining sales
- Low cost per customer
- Declining profits
- Laggards are targeted
- Declining competition

Sales	Declining sales
Costs	Low cost per customer
Profits	Declining profits
Marketing Objectives	Reduce expenditure and milk the brand
Product	Phase out weak items
Price	Cut price
Distribution	Go selective: phase out unprofitable outlets
Advertising	Reduce to level needed to retain hard-core loyal customers

Principles of Marketing

Chapter#11

Pricing Strategies

Pricing Strategies

Topic Outline

- ❖New-Product Pricing Strategies
- ❖Product Mix Pricing Strategies

New-Product Pricing Strategies

- Market-skimming pricing
- Market- penetration pricing

Market-skimming pricing

Market-skimming pricing is a strategy with high initial prices to "skim" revenue layers from the market.

- Product quality and image must support the price
- Buyers must want the product at the price
- Costs of producing the product in small volume should not cancel the advantage of higher prices
- Competitors should not be able to enter the market easily

Market- penetration pricing

Market-penetration pricing sets a low initial price in order to penetrate the market quickly and deeply to attract a large number of buyers quickly to gain market share

- Price sensitive market
- Inverse relationship of production and distribution cost to sales growth
- Low prices must keep competition out of the market

Product Mix Pricing Strategies

Product line pricing

Optional-product pricing

Captive-product pricing

By-product pricing

Product bundle pricing

Product line pricing

Product line pricing takes into account the cost differences between products in the line, customer evaluation of their features, and competitors' prices.

- Setting prices across an entire product line.
- In tourism hospitality industry the same category of rooms having different rates because of amenities and facilities.

Optional product pricing

Optional-product pricing takes into account optional or accessory products sold with the main product.

- Accessories (like carry bags, cooling fan) with laptops.

Captive-product pricing

Captive-product pricing involves products that must be used along with the main product.

Two-part pricing involves breaking the price into:

- Fixed fee
- Variable usage fee

- Gillette often price the razor at or below cost and make the profit on the blades.

By-product pricing

By-product pricing refers to products with little or no value produced as a result of the main product. Producers will seek little or no profit other than the cost to cover storage and delivery.

- Pricing low-value by-products to get rid of them.
- Some garments manufacturers sell waste cut-pieces of cloth to car-washing industry.

Product bundle pricing

Product bundle pricing combines several products at a reduced price.

- Pricing bundles of products sold together
- Value meals at fast food restaurants

Principles of Marketing

Chapter#12

Marketing Channels: Delivering Customer Value

Supply Chains and the Value Delivery Network

Supply Chain Partners

- **Upstream partners** include raw material suppliers, components, parts, information, finances, and expertise to create a product or service
- **Downstream partners** include the marketing channels or distribution channels that look toward the customer

Marketing channel (Definition)

- A marketing channel (or distribution channel) is a set of independent organizations that help make a product or service available for use or consumption by the consumer or business user.

The Nature and Importance of Marketing Channels

How Channel Members Add Value

- **Intermediaries** offer producers greater efficiency in making goods available to target markets. Through their contacts, experience, specialization, and scale of operations, intermediaries usually offer the firm more than it can achieve on its own.
- From an economic view, intermediaries transform the assortment of products into assortments wanted by consumers
- In making products and services available to consumers, channel members add value by bridging the major time, place, and possession gaps that separate goods and services from those who would use them

Channel Design Decisions

1. Analyzing Consumer Needs

- Do customers want to buy from nearby locations or are they willing to travel to more distant centralized locations?
- Would they rather buy in person, by phone, or online?
- Do they value breadth of assortment or do they prefer specialization?
- Do consumer want many add-on services (delivery, repair, installation), or will they obtain these elsewhere?

2. Setting Channel Objectives

Companies should state their marketing channel objectives in terms of:

- Targeted levels of customer service
- What segments to serve (out of several segments wanting different levels of services)
- Best channels to use
- Minimizing the cost of meeting customer-service requirements

2. Setting Channel Objectives

Companies channel objectives are also influenced by:

- Nature of the company
- Its products
- Its marketing intermediaries
- Its competitors
- The environmet

3. Identifying Major Alternatives

After defining channel objectives, the company should identify its major channel alternatives in term of

- Types of intermediaries
- Number of marketing intermediaries
- Responsibilities of channel members

Identifying Major Alternatives

Intensive distribution

- Candy and toothpaste

Exclusive distribution

- Luxury automobiles and prestige clothing

Selective distribution

- Television and home appliance

4. Evaluating the Major Alternatives

Each alternative should be evaluated against:

- Economic criteria
- Control
- Adaptive criteria

Marketing Communication

Promotional Tools

The Promotion Mix

The promotion mix is the specific blend of advertising, public relations, personal selling, and direct-marketing tools that the company uses to persuasively communicate customer value and build customer relationships

Major Promotion Tools

Advertising

- **Definition:** Advertising involves paid, non-personal communication through various media channels to promote a product, service, or brand.
- **Purpose:** To create awareness, generate interest, and persuade the target audience.

Sales promotion

- **Definition:** Sales promotion includes short-term incentives, discounts, contests, and other activities designed to stimulate immediate sales.
- **Purpose:** To encourage purchasing and create a sense of urgency among consumers.

Public Relations

- **Definition:** Public relations involves managing the relationship between an organization and its publics, including customers, employees, investors, and the general public.
- **Purpose:** To build and maintain a positive image, handle crises, and establish a favorable perception of the company.

Personal Selling

- **Definition:** Personal selling is a face-to-face or direct communication method where a salesperson interacts with potential buyers to persuade them to make a purchase.
- **Purpose:** To build relationships, address specific customer needs, and guide the customer through the buying process.

Direct Marketing

- **Definition:** Direct marketing involves communicating directly with individual customers through various channels such as mail, email, phone, or online platforms.
- **Purpose:** To establish a direct connection with customers, promote products or services, and encourage immediate responses.

Steps in Developing Effective Marketing Communication

1. Identify the target audience
2. Determine the communication objectives
3. Design the message
4. Choose the media
5. Select the message source

Message Design

- **Message Content** is about the substance of the information conveyed in the advertisement, including key selling points and relevant details.
- **Message Structure** involves the organization and arrangement of elements within the ad, ensuring a logical flow and engagement for the audience.
- **Message Format** pertains to the visual design and layout of the ad, influencing its overall aesthetic appeal and visual identity.

Rational Appeal

- **Definition:** Rational appeal, also known as logical or cognitive appeal, focuses on presenting logical arguments, features, and benefits to persuade the audience. It aims to appeal to the consumer's intellect and reasoning.
- **Example:** A car advertisement highlighting fuel efficiency, safety features, and advanced technology to appeal to consumers who make decisions based on facts and practical considerations.

Moral Appeal

- **Definition:** Moral appeal involves using ethical or moral values to persuade the audience. It often taps into the viewer's sense of right and wrong, promoting a sense of responsibility or social conscience.
- **Example:** An advertisement for a charitable organization showcasing the impact of donations on improving the lives of underprivileged children. The message appeals to the viewer's sense of empathy and moral duty to help those in need.

Emotional Appeal

- **Definition:** Emotional appeal aims to evoke specific emotions in the audience, such as joy, fear, love, or nostalgia. This approach is powerful because emotional responses can strongly influence decision-making.
- **Example:** An athletic shoe commercial featuring individuals overcoming challenges, pushing their limits, and achieving success. The emotional appeal here is a sense of pride and accomplishment associated with the brand.